The breakup of capital requirement is as follows:

1. Tier 1 Capital (6.0 %)
    a. Common Equity Tier 1 (4.5 %)
    b. Additional Tier 1(1.5 %)
2. Tier 2 Capital (2 %)

Tier 1 capital consists of the share capital and disclosed reserves or retained earnings. Share capital is the share investment made by public and others. Disclosed reserves or retained refer to the undistributed profit. Common equity Tier 1 means the share capital held by common public.

Additional Tier 1 capital consists of investments that are debt in nature but do not have maturity period. It can be realised if the issuer wishes to do so. Tier 2 capital is similar to additional Tier 1 capital but has maturity period of at least five years. Both of them have right to claim next to depositors and general creditors and they are neither secured nor guaranteed by issuer.

Over and above this 8 per cent there is a need to maintain capital conservation buffer of 2.5 per cent. This capital can be withdrawn during financial stress but when the minimum capital requirement of the above said 8 per cent approaches, the Central Bank can impose restrictions regarding discretionary distribution of capital in the form of dividend and bonus. Usually the banks have the habit of indulging in this kind of discretionary distribution to show as if they are in strong position. To avoid this, restriction can be imposed.

During the period of high credit growth, on a temporary basis, the central banks can stipulate additional capital requirement to avoid unfettered credit growth which may result in credit bubble. It is called **Counter cyclical capital buffer.** Normally it can be from 0 to 2.5 per cent and there can be an add-on of 2.5 per cent more, in total 5 per cent. During normal time it must be zero. [13]